

⚡ MINI STUDIO ACTIVITY

Resolving the "Holy War" in Digital Lending

Apply **Socio-technical Design** and **Behavior Change** theories to resolve cross-departmental resistance and repair organizational cohesion.



Time

15-20 Minutes Total



Format

Group Discussion



Output

Hands-On Action Design



Your Role

Project Managers & Change Team

THE SETUP

Background & Crisis

The Background

A traditional bank is implementing a **"Digital Lending" transformation**. Following an external consultant's advice, senior management executed a restructuring — creating a brand-new **"Agile Digital Department."**

🔥 The Crisis: An Internal "Holy War"

Agile Digital Dept: Demands speed and agility, believing traditional processes are too slow and outdated.

Risk & Traditional IT Dept: Feels excluded. Uses "workarounds" and sets up roadblocks to delay digital projects.

⊗ ⚠️ **Current State:** A severe **"Holy War" has erupted** between the two departments, **destroying the organization's cohesion**. Senior management sees the delayed progress and is planning to **"restructure AGAIN"** to fix the problem.

STEP 1

Group Diagnosis

⚠️ **Don't jump to solutions yet.** Use our [course theories](#) to "diagnose" the problem first.

Task A: Engineering System vs. Human System

Discuss: What fatal mistake is [senior management](#) making by trying to "restructure again"?

The Core Error

Senior management is treating the organization as a [purely logical, emotionless machine](#) — rather than a **living, human system**. Restructuring the org chart does nothing to address the feelings of threat, exclusion, and distrust driving the conflict. (Refer to [Table 5.1](#))

Task B: Analyzing the Risk Dept's Mindset

Use the **Schutz Framework** — Inclusion, Control, and Openness — to analyze why the Risk Dept is blocking the project.



Inclusion

Do they feel their **existence and identity are threatened with wipeout**? Being sidelined from a core banking function signals they may no longer be needed.



Control

Do they feel they have **lost their power and authority** to manage lending risks? The new Agile dept bypasses their traditional gatekeeping role.



Openness

Is there a **lack of trust and authentic relationships** between the two departments? Without openness, collaboration is impossible.

Action Design

✅ **Now, stop useless restructuring.** Choose 1–2 strategies below and design **concrete mechanisms** to **force behavior change** and **cohesion repair**.

1

Design "Integrating Roles"

Instead of just creating silos (distinction), design an **"organizational glue"** that bridges the Digital and Risk departments.

- Who should take this role?
- What are their specific tasks?
- **Example:** Embed a **Risk Officer** directly into the Agile Squad

2

System Architecture Forces Behavior

Instead of verbally asking for collaboration, **change the system rules or workflow** so that **"Shared Responsibility"** becomes the easiest option. (*Amazon / DevOps Model*)

- Shared KPIs across both departments
- Shared **automated testing pipelines**
- **Example:** Make the final release **KPI jointly owned** by both Digital and Risk teams

3

Trigger "Self-Organization"

Instead of top-down commands, **recruit "Lead Champions"** from both departments to let **change spread naturally across the network**.

- Identify respected voices in each dept
- Empower them to model new behaviors
- **Example: Joint Champion Pair** — one from Agile, one from Risk

📌 **Expected Output:** Present **your concrete action plan** to senior management. Be specific — instead of "improve communication," say *"Embed a Risk Officer directly into the Agile Squad"* or *"Make the final release KPI jointly owned by both teams."*

Table 5.1: Engineering System vs. Human System

Engineering System	Human System
Assume complete rationality	Assume differences in motivation
Assume pure logic is correct	Assume feelings are allowed
No space for accidents or flexibility	Flexibility is welcome
Emotion excluded	Emotion included
Machine-like	People-like
Linear	Non-linear
Sequential	Non-sequential
Flows	Paces
<i>"It stands to reason"</i>	<i>"We are just human beings"</i>